CASE 11.1

Vibrant Video

Vibrant Video (V^2) is a manufacturer of home theater projection systems. The company assembles Ultra HD projectors in Portland, Oregon and sells them online and through specialty electronics stores. The most popular model retails for $4,995 and V^2 bundles the projector with high fidelity audio components that are purchased from external suppliers.

Due to ongoing delivery challenges with their Pacific Rim suppliers and carriers, V^2 has decided to buy from suppliers in closer proximity to Portland. The speakers will be supplied by an electronics company with operations in Tijuana, Mexico and the receivers will be purchased from an audio lab in Manchester, New Hampshire.

The purchase contracts have been negotiated in principle. The speaker supplier has given V^2 two shipping choices under FOB Destination, Freight Collect. The receiver supplier only sells its products FOB Origin, Freight Collect. The remaining issue for the V^2 transportation director is to evaluate the delivery options that her analyst recommended for each product and make a decision.

Relevant information is provided in the following table:

	SPEAKERS	RECEIVER
Manufactured in	Tijuana, Mexico	Manchester, New Hampshire
V^2 purchase price	$175 per set	$225 per unit
Weight	28 pounds	5 pounds
Dimensions	30" (L) × 18" (W) × 18" (H)	18" (L) × 8" (W) × 4" (H)
Characteristics	Sturdy, bulky, not easily damaged	Compact, vibration sensitive, theft risk
Freight Terms	FOB Destination, Freight Collect and Allowed	FOB Origin, Freight Collect
Option 1	Weekly LTL delivery 200 units $2,485 Cost per delivery	Weekly Ground delivery 200 units $2,169 Cost per delivery
Option 2	Twice per month TL delivery 400 units $2,946 Cost per delivery	Twice per week airfreight delivery 100 units $2,411 Cost per delivery

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CASE QUESTIONS

1. What responsibilities, control, and costs does V2 bear under each of the FOB terms offered?
2. What is the delivery cost and landed cost per unit for each speaker delivery option?
3. Which delivery option do you recommend for the speakers?
4. What is the delivery cost and landed cost per unit for each speaker delivery option?
5. Which delivery option do you recommend for the speakers?
6. What other supply chain issues and costs must SSE take into consideration when making these transportation decisions?

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CASE 11.2

Bob's Custom BBQs

Bob's Custom BBQs, a manufacturer of outdoor grills, uses three primary carriers to move grills from its Texas factory to home improvement retailers in the United States and Canada. The owner, Bob Flambeau, wants to evaluate the performance of the three carriers and collected data for the following metrics over a three-month period.

PERFORMANCE CRITERIA	ALLIED TRANSPORT	BESTWAY FREIGHT	CERTAINT CARRIERS
On-time delivery	99.5%	98.7%	98.2%
Loads with damage claims	0.9%	1.6%	0.4%
Customer satisfaction ratings	4.6	4.2	3.9
Billing accuracy	99.3%	99.6%	98.2%
Loads rejected	1.3%	2.1%	0.9%

Bob asked his transportation manager to develop a scorecard to help compare the carriers on these five metrics. The manager came up with the following chart:

PERFORMANCE CRITERIA	WEIGHT FACTOR	PERFORMANCE EVALUATION	POTENTIAL SCORE	ACTUAL SCORE
On-time delivery	30	>98.5% = 5 96.01–98.5% = 4 93–96% = 2 <93% = 0	150	
Loads with damage claims	30	<0.5% = 5 0.5–1% = 4 1.01–2% = 2 >2% = 0	150	
Customer satisfaction ratings	20	>4.5 = 5 4.01–4.5 = 4 3–4 = 2 <3 = 0	100	
Billing accuracy	10	>99% = 5 97.01–99% = 4 95–97% = 2 <95% = 0	50	
Loads rejected	10	<1% = 5 1%–2% = 4 2.01–3% = 2 >3% = 0	50	
		Total Score	**500**	

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CASE QUESTIONS

1. Calculate the performance score for each of the three carriers.
2. Which carrier would you recommend that Bob consider for elimination? Why?
3. If Bob decides to keep all three carriers, what should each of them work to improve?

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